

PRACTICAL NO. 9

Aim

Preparation of Case Study Report on “Return on Investment (ROI) of a Successful Startup” using Zerodha as a case study.

1. Introduction

Return on Investment (ROI) is an important financial measure used to understand the return generated from the money invested in a business. For a startup, ROI can be studied by comparing the capital deployed with the profits or value generated over a period of time.

A successful startup generally combines a useful business model, controlled costs, customer value, efficient use of technology and sustainable revenue generation. Studying ROI helps an entrepreneur understand whether the resources used in starting and operating a business are generating satisfactory returns.

This report studies Zerodha, an Indian financial-technology startup, as a successful case. The report examines its business model, capital efficiency, financial performance and an illustrative ROI calculation based on publicly stated startup expenditure and FY24 profitability.

2. Selected Startup

For understanding the ROI of a successful startup, the following enterprise is considered:

Startup Name: Zerodha

Nature of Business: Online stockbroking and investment platform.

Type of Enterprise: Bootstrapped financial-technology (FinTech) enterprise.

Basic Characteristics:

- Technology-driven business model
- Low-cost and customer-focused services
- Bootstrapped growth
- No external venture capital
- Digital customer acquisition and word-of-mouth growth
- Strong profitability
- Focus on operational efficiency
- Long-term business approach

3. Major Factors Affecting Startup ROI

The following factors are considered while studying the return generated by a successful startup:

Factor	Major Contribution to ROI
Initial Capital	Determines the financial resources committed at the beginning
Revenue	Shows income generated by the business
Profitability	Shows how efficiently revenue is converted into profit
Cost Control	Reduces unnecessary expenditure and improves margins
Customer Growth	Expands the revenue-generating customer base
Technology	Enables scalable digital operations
Business Model	Determines how the startup earns revenue
External Funding	Can accelerate growth but may dilute ownership

4. Zerodha – About the Startup

Zerodha was founded in 2010 by Nithin Kamath and Nikhil Kamath. It developed as a technology-driven stockbroking business and became known for its low-cost model and focus on customer-oriented products.

Zerodha states that it has been bootstrapped and profitable from its early days. The company also states that it has no external investor pressure and has built its growth largely through product quality and word-of-mouth referrals. ¹ ² ³

Business Model

- Digital-first stockbroking platform
- Flat-fee pricing for applicable trades
- Free equity delivery brokerage model
- Technology-based account opening and trading
- Customer education through digital resources
- Low dependence on conventional advertising

5. Initial Investment and Capital Efficiency

Zerodha provides an unusual example of bootstrapped startup growth. In 2025, co-founder Nithin Kamath stated that the total amount spent to develop Zerodha was approximately ₹10 lakh, including about ₹2.5 lakh for the website, ₹5 lakh for office interiors and ₹2.5 lakh for miscellaneous expenditure.

This figure is used in this report as the stated cumulative startup-development expenditure for an illustrative capital-efficiency calculation. It should not be treated as a conventional investor's purchase price or valuation of Zerodha.

Item	Amount
Website development	₹2.5 lakh
Office interiors	₹5 lakh
Miscellaneous	₹2.5 lakh
Total stated expenditure	₹10 lakh

6. Revenue and Profit Performance

Zerodha reported strong financial performance in FY 2023–24. In its own business update, the company stated revenue of approximately ₹8,320 crore and profitability of approximately ₹4,700 crore for FY23/24. Economic Times reported the same figures when covering the company's FY24 results.

Financial Indicator	FY 2023–24
Revenue	Approximately ₹8,320 crore
Profit	Approximately ₹4,700 crore
Business Status	Bootstrapped and profitable

The figures above are reported figures; they are not independently recalculated in this report.

7. ROI Calculation

The standard ROI formula is:

$$\text{ROI} = (\text{Return from Investment} - \text{Cost of Investment}) \div \text{Cost of Investment} \times 100$$

For a startup case study, the calculation below is presented as a capital-efficiency illustration. It compares the publicly stated ₹10 lakh cumulative development expenditure with approximately ₹4,700 crore of FY24 profit.

$$\text{₹4,700 crore} = \text{₹47,000 lakh}$$

$$\text{ROI} = (\text{₹47,000 lakh} - \text{₹10 lakh}) \div \text{₹10 lakh} \times 100$$

$$\text{ROI} = 469,900\%$$

Thus, on this simplified one-year comparison, the FY24 profit was approximately 470 times the stated cumulative development expenditure, producing an illustrative ROI of about 469,900%.

Important Note: This is not a conventional investment-return calculation because ₹10 lakh represents stated historical development expenditure, while FY24 profit reflects the output of a mature business operating over many years. The calculation is therefore best interpreted as a measure of capital efficiency rather than an investor's actual annual return.

8. Factors Responsible for High ROI

- Bootstrapped business model reduced dependence on external investors.
- Low operating and customer-acquisition costs supported profitability.
- Technology enabled the business to serve a large customer base digitally.
- Simple and competitive pricing helped differentiate the service.
- Customer-focused product development supported long-term adoption.
- Word-of-mouth referrals reduced dependence on conventional advertising.
- Profits were retained within the business, supporting financial independence.

9. Financial Information Required for ROI Analysis

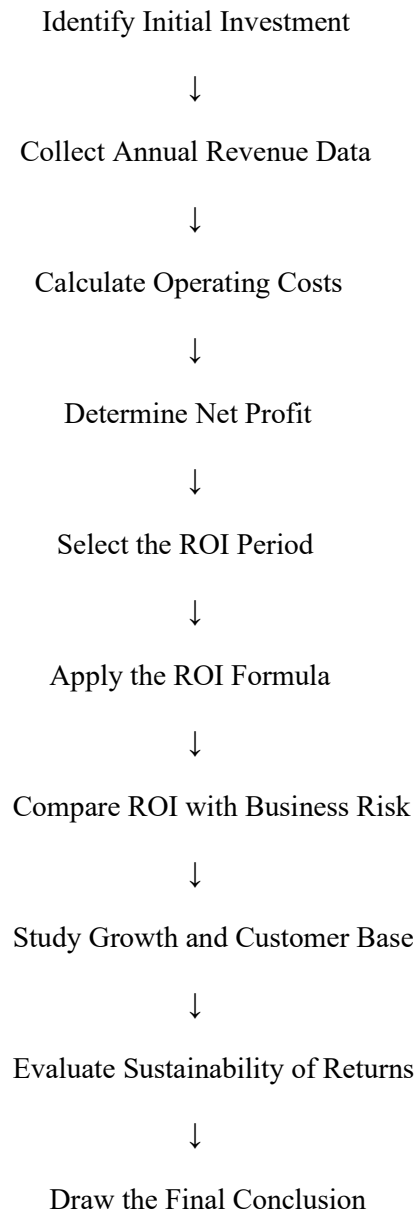
Requirement	Information to be Collected
Initial Investment	Capital actually invested in starting the business
Operating Cost	Employee, technology, office and other recurring costs
Revenue	Annual income generated by the startup
Profit	Profit after operating expenses and applicable taxes
Customer Base	Number and growth of customers
Funding	External equity or debt raised, if any
Assets	Technology, infrastructure and other business assets
Time Period	Number of years considered for the return
Business Value	Valuation or owner's equity value, where reliably available
Risk	Market, regulatory, competitive and operational risks

10. ROI Analysis of Zerodha

Parameter	Observation
Startup capital efficiency	Very high based on the founders' stated historical expenditure
External venture capital	Zerodha states that it is bootstrapped and has no external investor pressure
FY24 revenue	Approximately ₹8,320 crore
FY24 profit	Approximately ₹4,700 crore
Profitability	Strong
Technology dependence	High
Customer acquisition	Strong word-of-mouth component
Key risk	Regulatory and market changes can affect revenue and profitability

Zerodha itself has highlighted regulatory changes as a significant business risk. In its FY23/24 business update, the company expected changes relating to brokerage rules, derivatives and other charges to affect future revenue.

11. Suggested Steps for Calculating Startup ROI



12. Key Findings

- ROI is an important measure for evaluating the financial performance of a startup.
- Zerodha provides an example of a successful bootstrapped startup with strong profitability.
- The founders have stated that approximately ₹10 lakh was spent to develop Zerodha.
- Zerodha reported approximately ₹8,320 crore in revenue and ₹4,700 crore in profitability for FY23/24.
- The simplified capital-efficiency calculation produces a very high illustrative ROI.
- The result should not be interpreted as the actual annual return earned by an investor.
- Technology, cost control, customer focus and a scalable business model contributed to the startup's performance.
- Regulatory and market risks can affect future revenue and profitability.

13. Conclusion

The study of Zerodha demonstrates how a startup can achieve strong financial performance through a scalable business model, technology, cost discipline and customer-focused product development.

The publicly stated expenditure of approximately ₹10 lakh compared with FY24 profitability of approximately ₹4,700 crore illustrates the exceptional capital efficiency achieved by the business. However, this comparison is an illustrative ROI measure and should not be treated as a conventional investor return because the expenditure and profit relate to different stages of the company's development.

Therefore, ROI should be studied together with revenue, profitability, investment period, business value, risk and sustainability when evaluating the success of a startup.

15. References

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